

Transcript:

PRESENTATION

Sh V Srikanth 00:00:01 – 00:09:45 **(Group Performance)**

So, this has been an extraordinary quarter. Extraordinary when you look at it from point of view of macro volatility. Extraordinary if you see it from point of view of energy market shock. Extraordinary when you think of it in the context of what kind of supply chain dislocation that happened. And in that context is where when you look at the overall performance, I do want to say that it has been an extraordinary performance too. The kind of agility we have shown has been incredible and I will tell you why it is. But starting with the numbers, topline up 25% primarily because of oil prices, but it is also a fact that Jio topline was also up 12%, even retail was up close to 12%. So, it is not just about O2C. EBITDA has been strong and when you look at EBITDA and recurring EBITDA, because last time, same time, we had the Rs.8,900 Crores of Asian paints and that is why right through the presentation I have backed it out, otherwise it just does not make comparable numbers and it does not make sense with those numbers like that. So, when you look at that, our overall EBITDA is more than Rs.54,000 Crores, so we are up 10%. Net profit at almost close to 23,200, again up 6%. And when you see the numbers, strong performance, by O2C up 17%, JPL 15%. And that is really those where they stand out performance. And we will also talk about the other businesses. So again, consumer businesses is now again back to, it is about 50% of the overall mix. And, cash flows continue to be strong, more than from a cash profit point of view, really funding the overall capex.

Moving on to O2C specifically, 30% up on revenue basis. Rs.17,000 Crores and that's up 17%. And when you see the components of the performance, starting with, of course, high distillate margins, we saw that. Significant 250% more, 300% more, but I just wanted to say that those numbers are there, but I think those numbers are on a flat crude basis, and it does not provide for the fact that you had to pay higher differentials to acquire the crude. But broadly, performance is on the back of higher spreads. Deltas, even chemical deltas, three to four years high. You always talked about the benefits of ethane cracking and when you see it in this quarter, while oil prices were going up, actually ethane prices went down. So, therefore, all the cracking that we do with the help of ethane, that was enormously valuable. I think the whole challenge in this quarter was about getting the crude, given the kind of dislocation we saw in the Middle East and, therefore, getting crude from Latin America, getting crude from the US, Canada, Africa, Russia. So, the challenge has been to get the crude because finally we were running the refinery at almost full capacity. Also, the other reason for the performance also comes from the actual placement. So quickly, the ability to reroute traffic back from Europe where we were exporting to actually more deficit markets in Asia and Australia. That also helped to give us some of the margins back. Of course, all this is there, but on the back of it, it was earnings were impacted by, of course, SAED was there, under-recoveries in retail was there. We had a planned turnaround, which meant that production meant for sale was lowered by 10%. LPG diversion, as you know, happened, requirement. Also, gas had to be diverted for the other priority sector, which means that we